
2026 Mitsui Fundamentals e-Learning Business Investment

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Note: If there is a glossary or attachment, it is included at the end of the chapter.

1. Business Investment

In this chapter, we will learn about business investment and other kinds of investment.

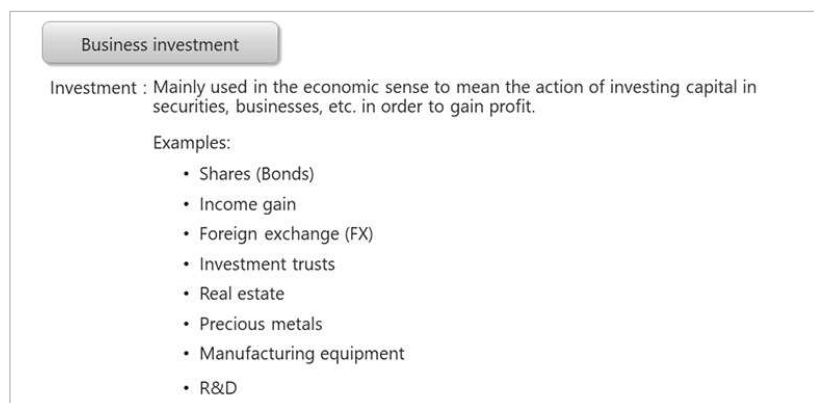
1.1) What is Business Investment?



So, how do we manage business investment at Mitsui & Co.?

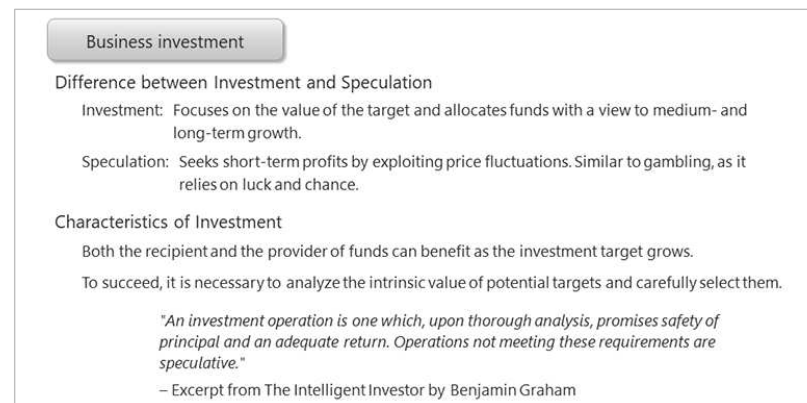
To understand that, let's start by learning what "business investment" is, and then business investment flow, business risk management, and the status of Mitsui & Co. Group.

We will begin by explaining business investment.



So, what exactly is investment?

Investing means to put money into something offering potential profitable returns, such as securities and businesses. Investments can come in a wide variety of forms, including shares, bonds, foreign exchange (FX), investment trusts, real estate, precious metals, manufacturing equipment, and R&D.



There is an act similar to investment called "speculation." What is the difference between the two?

Generally, investment emphasizes the "value" of the target and allocates funds with a view to medium- to long-term growth, whereas speculation seeks short-term profits by taking advantage of "price fluctuations." Speculation is similar to gambling in that it depends on luck and chance.

One characteristic of investment is that both the recipient and the provider of funds can potentially gain returns as the investment target grows. However, to succeed in investing and earn sufficient returns, it is essential to thoroughly analyze the intrinsic value of potential targets and carefully select the projects to invest in.

In this regard, professional investor and author Benjamin Graham wrote that whereas "an investment operation is one which, upon thorough analysis, promises safety of principal and an adequate return, operations not meeting these requirements are speculative."

Business investment

Example of a stock investment by an individual

For example:

Investing in Company A, which is listed on the Tokyo Stock Exchange Prime Market.

- It is possible to receive Company A's business reports and attend its shareholders' meetings.
- However, you cannot influence Company A's management or contribute to increasing the value of its shares.
- You are simply in a position of waiting, hoping for dividend payments or future capital gains from a rise in the stock price.

So, is there a difference between the investments typically made by individuals and the business investments made by our company? For example, suppose you purchase shares of Company A, which is listed on the Tokyo Stock Exchange Prime Market, through a securities firm.

In this case, as a shareholder, you can receive business reports from Company A and attend its general shareholders' meeting. However, simply owning the shares does not allow you to influence Company A's management or contribute to increasing the value of its stock. Essentially, you are in a position where you just wait, hoping for dividend payments or future capital gains from a rise in the share price.

Business investment

Examples of business investment by Mitsui

- Acquisition of Aim Services (domestic food service business) as its wholly owned company
- Equity participation in Sneha Farms (India, broiler production, processing, and processed product sales)
- Equity participation in Eu Yang Sang (Singapore, manufacturer and seller of traditional Chinese medicine)
- Establishment of Polska-Mit Steel (Poland, electromagnetic steel sheet processing)
- Acquisition of interest in the Rhodes Ridge iron ore project (Australia)
- Acquisition of ITC Rubis (Netherlands, liquid chemical tank terminal business) as its wholly owned subsidiary

Business Investment

On the other hand, let's look at investments made by corporations.

The examples on the screen show representative cases of investments Mitsui & Co. has made in recent years.

Mitsui & Co. invests in various businesses around the world, and all of these are referred to as "business investments."

Investment (Business Investment)

- Business investment refers to "an investment made for the purpose of operating a business, by acquiring shares or equity in a business entity, or by establishing a new business entity."
- What makes it significantly different from general investment is that "the investor is involved in the management of the investee and actively works to enhance its value."
- When Mitsui & Co. makes business investments, it does not simply provide funds; it also leverages its accumulated expertise to actively participate in the management of the investee.

Examples of Mitsui & Co.'s involvement with investee companies

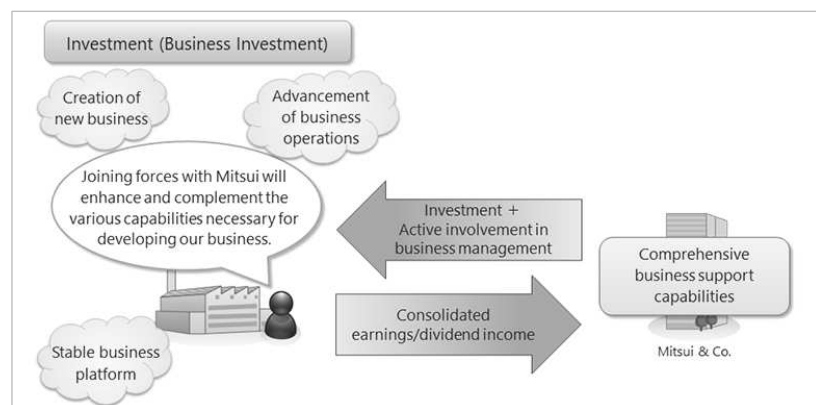
- Personnel support such as appointing directors and auditors, or seconding employees
- Introducing new business partners and proposing new business opportunities
- Supplying raw materials and equipment
- Providing expertise on risk management, internal controls, etc.

Business investment is a form of investment whereby a company acquires shares or equity in a business corporation or establishes a new business corporation for the purpose of operating business.

The major difference between this and a general investment is the fact that the investing party becomes actively involved in the management of the company in which it is investing and thereby raises the value of that company itself.

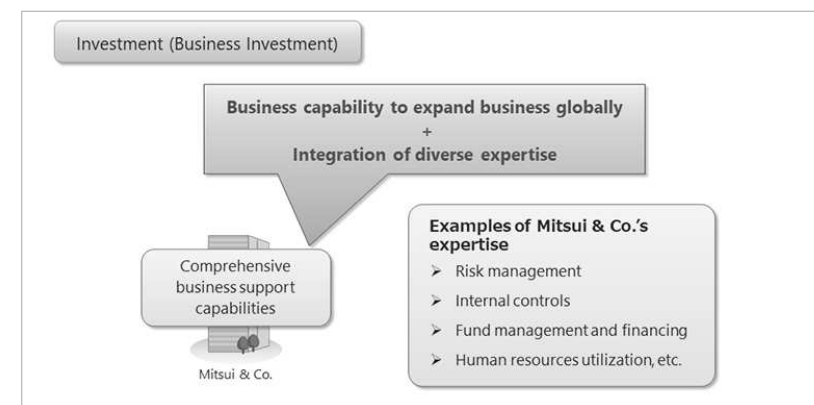
As a general trading and investment company (*sogo-shosha*), in making business investment, not only does Mitsui & Co. provide funds but it also gives personnel support, such as by dispatching its employees as directors or auditors and seconding its employees, introduces new business partners, proposes new business opportunities, supplies raw materials or equipment, and provides know-how on risk management, internal control, etc.

Mitsui & Co. actively engages in the management of its investee companies by leveraging its accumulated expertise.



From the viewpoint of the invested company, the unique feature of Mitsui & Co.'s business investment is the fact that joining forces with Mitsui & Co. will enhance and complement the various capabilities necessary for business development.

As mentioned earlier, Mitsui & Co. actively engages in the management of its investees' business. Through this involvement, it creates new business, enhances business operations, and stabilizes the business foundation, thereby increasing the value of the investees. As a return, Mitsui & Co. earns consolidated earnings and dividend income from its investees. What makes this possible is Mitsui & Co.'s comprehensive business support functions.



So, from what does the comprehensiveness of business support capabilities derive?

It comes not only from the company's business capabilities, but also from the fusion of various areas of expertise, such as know-how in risk management and internal control.

So, where do our comprehensive business support functions come from?

First and foremost, they stem from our "business capability" to develop business across a wide range of fields worldwide. However, that is not all. The "integration of diverse expertise" — such as risk management, internal control, fund management and financing, and human resource utilization — also forms the foundation that enables Mitsui & Co.'s comprehensive business support functions.



Mitsui & Co.'s investment activities are largely classified into three categories.

The first category is business investment. This means acquiring shares or equity in an operating company or establishing a new operating company. The purpose is to be involved in the management of the investee company and increase the value of the company.

The second category is policy-related investment. Its primary aim is to strengthen ties with the investee. Mitsui & Co.'s involvement in operations and its role in providing services to the entity are limited, and there is no rational basis for the investment in terms of direct returns such as dividends.

The third category is financial investment. Here, Mitsui & Co. invests on the premise of extremely limited human resources involvement, under the assumption that the investment will be sold off within a relatively short period of time. This investment lacks strategic significance other than the prospect of returns generated by fund management and offers little in terms of adding value to the venture by exerting Mitsui & Co.'s functions.

In principle, at Mitsui & Co., the latter two modes of investment are not accepted.

1.2) Steps from Investment Consideration to Exit

In this section, we will learn about the general processes involved in business investment.



Individual investors commonly base their decisions to invest in shares on such factors as their personal interest, news regarding the company concerned, information obtained via social media, share price trends, and intuition. The usual behavior pattern is to sell shares if they provide the anticipated value increase, or to continue to hold them even if the value does not rise, provided that the dividends are higher than deposit interest rates. However, that is not how Mitsui & Co. approaches business investment.

In this section, we will look at each step from the consideration of investment through to the exit stage.

Consideration of investment

Establishing a Strategic Story

In investment consideration, it is crucial to establish a concrete and clear “strategic story.” Rather than taking an “investment-first” approach, clarify the company’s “vision” over a medium- to long-term horizon and comprehensively examine all possible means to achieve it.

When considering “business investment,” first confirm that the target business aligns with the medium- to long-term strategy of the relevant business domain.

Building an Investment Hypothesis

Gain a fundamental understanding of the target business, especially its sources of revenue, industry structure, competitiveness, and potential for differentiation. Based on this understanding, determine what excess returns can be achieved by becoming a shareholder, how we can leverage our strengths, by when, and to what extent we can enhance the target company’s corporate value.

Then, construct a concrete and clear investment hypothesis.

When considering an investment, it is essential to establish a concrete and well-defined “strategic story.

This should not be approached with an “investment-first” mindset. Instead, we clarify the company’s “vision” over a medium- to long-term horizon and comprehensively examine all possible means to achieve it.

When we consider “business investment” as one of those means, the first step is to confirm that the target business aligns with the medium- to long-term strategy of the relevant business domain. Next, we seek to gain a fundamental understanding of the target business – particularly its sources of revenue, industry structure, and the potential for competitiveness and differentiation within that structure.

Based on this understanding, we then determine what excess returns can be achieved by becoming a shareholder, how we can leverage our strengths, by when, and to what extent we can enhance the target company’s corporate value. Then, we build a concrete and well-defined “investment hypothesis.”

Consideration of investment

To-Do list after building the investment hypothesis

- Create a list of candidate projects that satisfy the investment hypothesis.
- Carry out an exhaustive selection process at the initial consideration stage.
- Carry out initial valuation of corporate value.
- Consider the investment structure.
- Confirm the internal process/schedule.

After building the investment hypothesis, the next step is to create a list of candidate projects that satisfy this hypothesis. From this list, we conduct a thorough selection process and then perform an initial valuation of the shortlisted projects, as well as examine the investment structure. In addition, we confirm the internal decision-making process, such as a ringi procedure, and its schedule, which will be explained later.

Due Diligence (D/D)

- The purpose is to understand the actual situation of the potential investee company, and identify and assess various risks.
- Confirm the investment hypothesis developed at the investment consideration stage.
- Serves as the basis for decision-making and for negotiating the acquisition price.
- Serves as the basis for post-merger integration (PMI).
- Due diligence should be conducted thoroughly with the involvement of various specialists.

Due diligence is intended to provide an understanding of the actual condition of the target company and to identify and assess various risks. It also serves to verify the investment hypothesis developed during the phase to examine the investment. Furthermore, due diligence provides the basis for decision-making and negotiation on the acquisition price, and it becomes the foundation for PMI (Post-Merger Integration), which is conducted after the acquisition. Therefore, when conducting due diligence, it is essential to involve various specialists and carry it out thoroughly.

Due Diligence (D/D)

Types

- **Business D/D**
Investigations and analyses relating to the business, including products and services, business models for selling and marketing products and services, value chains, positioning in the industry concerned, and market trends in the industry.
- **Financial D/D**
Investigations and analyses based on financial statements, including past performance trends, profitability, compatibility with business plans, capital expenditure, and off-balance-sheet debts.
- **Tax D/D**
Analyses of past tax returns and materials related to tax investigations, and confirmation of potential back taxes and existence of losses brought forward.
- **Legal D/D**
Investigations and confirmation of related information, including the major shareholders history, key contracts, illegal activities, and history of or potential for litigations and disputes.

There are various types of due diligence. This slide lists the most common processes. The purpose of business D/D is to carry out investigations and analyses relating to the business, including products and services, business models for selling and marketing products and services, value chains, positioning in the industry concerned, and market trends in the industry.

Financial D/D involves investigations and analyses based on financial statements, including past performance trends, profitability, compatibility with business plans, capital expenditure, and off-balance-sheet debts.

Tax D/D is carried out to analyze past tax returns and tax investigation materials, confirm whether there is a potential of back taxes, and determine the actual status of losses carried forward.

Legal D/D focuses on investigations and confirmation of related information, including the history of major shareholders, the content of key contracts, illegal activities, and the history of or potential for litigation and disputes.

Due Diligence (D/D)

Types

- **Operational D/D**
Investigation and analysis of key business, production, and manufacturing processes, profitability by business and product, quality control systems, etc.
- **IT D/D**
Investigation and analysis of the configuration and utilization status of information systems, an information security framework, etc.
- **HR D/D**
Surveys and analyses of the company's organizational structure and overall personnel system, including appraisal and promotion systems, remuneration structures, and retirement systems.
- **ESG D/D (environmental/social D/D)**
Investigation and analysis of environmental issues such as soil contamination and air pollution, as well as social issues such as human rights violations and infringement of indigenous peoples' rights.
- **H&S D/D**
Research and analysis on occupational accident prevention, occupational safety systems, hygiene management, etc.

Operational Due Diligence (Operational D/D) is aimed at researching and analyzing key business, production, and manufacturing processes, profitability by business segment and product, quality control systems, etc.

IT Due Diligence (IT D/D) focuses on investigating and analyzing the configuration and utilization of information systems, as well as frameworks related to information security.

HR Due Diligence (HR D/D) is intended to research and analyze the company's organizational structure and overall personnel system, including appraisal and promotion systems, remuneration structures, and retirement systems.

ESG Due Diligence (Environmental & Social D/D) is conducted to examine and analyze environmental issues such as soil and air pollution, and social issues such as human rights violations and infringement of indigenous peoples' rights.

Health & Safety Due Diligence (H&S D/D) is aimed at researching and analyzing occupational accidents, occupational safety systems, hygiene management frameworks, etc.

Our company intranet provides checklists for IT D/D, ESG D/D, and H&S D/D in relation to investment targets.

Due Diligence (D/D)

When risks or issues are identified in the process of D/D

- Investigating their potential impact and formulating countermeasures
- Reviewing the financial model based on the risks or issues identified
- Reflecting such risks or issues in the price negotiation or contract term negotiation

In cases where risks or issues are identified in the due diligence process, it is necessary to investigate their potential impact and formulate countermeasures. Furthermore, based on such risks or issues, the financial model (which is used in the valuation process described later) is reviewed, and the risks or issues are also reflected in the negotiations with the counterparty on prices or contract terms.

Valuation

- Assess the value of the target company using a tool called a “financial model.”
- The most important element in valuation is the cash flow projection. The underlying business plan must be thoroughly verified for plausibility, including all assumptions.
- Ensure that findings from due diligence are properly reflected in the financial model.
- The main valuation approaches are: income approach; market approach; and cost approach.

It is common practice to use multiple methods rather than relying on just one.

Valuation literally means assessing the value of the target company. As explained later, there are multiple valuation methods, but in any case, it is common to use a tool called a “financial model.”

The most critical element in valuation is the cash flow projection. Typically, the cash flow projection is based on the target company’s business plan. However, it is essential to thoroughly verify the plausibility of this plan, including its underlying assumptions. If the figures in the business plan are not appropriate, no matter how correctly the valuation is performed using proper methods, it will be meaningless.

It is also necessary to confirm whether the findings from due diligence (D/D) are properly reflected in the financial model.

Valuation methods are generally classified into three approaches:

1. Income approach
2. Market approach
3. Cost approach

When conducting valuation, it is common practice to use multiple methods rather than relying on just one.

Valuation

Approaches

➤ Income approach

Evaluate the corporate value by discounting the expected future economic benefits using a discount rate that reflects the company's risk and future interest rates.

- Discounted cash flow (DCF) method
Item discounted: Future free cash flow.
- Dividend discounted model (DDM) method (dividend payment method)
Item discounted: Future dividend payments.

The income approach is a method of valuing a company by discounting the expected future economic benefits it will generate, using a discount rate that reflects the company's risk profile and future interest rates.

Representative methods include: the DCF (Discounted Cash Flow) method, which discounts future free cash flows; and the DDM (Dividend Discount Model) method, which discounts future dividends. The DDM method is also known as the dividend payment method.

Valuation

Approaches

➤ Cost approach

Determine corporate value based on net assets.

- Net book value method: Valuation based on the book value of net assets.
- Net market value method: Valuation based on adjusted net assets reflecting the fair value of assets and liabilities.

➤ Market approach

Valuation based on prices established in the market.

- Multiple method (comparable company analysis):
Valuation is performed by multiplying the target company's management indicators, such as EBITDA, by a certain multiple. This "multiple" is calculated based on the stock prices of listed companies in the same industry as the target company or on transaction prices from similar deals.

The cost approach is a method of valuing a company based on its net assets. Representative methods include: the book value method, which is based on the accounting book value of net assets; and the adjusted net asset method, which is based on net assets adjusted to reflect the fair value of assets and liabilities.

The market approach is a method of valuing a company using prices established in the market. A representative method is the multiple method (comparable company analysis). Under this method, the company's value is calculated by multiplying management indicators such as EBITDA by a certain "multiple." This multiple is derived from the stock prices of listed companies in the same industry or from transaction prices in similar deals.

SPA/SHA

SPA: Share (Stock) Purchase Agreement

- Specify not only the share price and payment terms, but also clauses such as representations and warranties, covenants, conditions precedent, and price adjustment provisions.
- Address findings from due diligence in the SPA by stipulating measures such as: reflecting them in the share transfer price; transferring risk to the seller through representations and warranties; and/or including the resolution of such matters as conditions precedent.

SHA: Shareholders' (Stockholders') Agreement

- Concluded when multiple shareholders jointly operate a business.
- Main contents include: the basic structure of the joint venture (or joint business); the business scope and scale; governance and decision-making rules, including the method of appointing directors; rights and obligations of each shareholder; and procedures for resolving issues when problems arise.
- It is also common to define scenarios for the eventual dissolution of the joint venture, making this agreement essentially the blueprint for the venture.

The SPA (Share Purchase Agreement) referred to here is a contract concerning the transfer of shares in the target company. In an SPA, not only the share price and payment terms but also clauses such as representations and warranties, covenants, conditions precedent, and price adjustment provisions are stipulated.

Findings from due diligence are addressed in the SPA by stipulating measures such as: reflecting them in the share transfer price; transferring risk to the seller through representations and warranties; and including the resolution of such matters as conditions precedent.

The SHA (Shareholders' Agreement) is a contract concluded when multiple shareholders jointly operate a business. Its main provisions include: the basic structure of the joint venture (or joint business); the business scope and scale; governance and decision-making rules, including the method of appointing directors; rights and obligations of each shareholder; and procedures for resolving issues when problems arise.

It is also common to define scenarios for the eventual dissolution of the joint venture, making the SHA essentially the blueprint for a multi-shareholder joint venture.

SPA/SHA

- Both an SPA and an SHA are concluded through multiple negotiations with the counterparty.
- At the initial stage of negotiations related to an SPA or an SHA, first a term sheet describing main clauses is created.
- It is necessary to confirm whether the result of the D/D and/or countermeasures are appropriately reflected in the term sheet.
- Usually, when the content of the term sheet is agreed upon, a ringi process is initiated. However, depending on the importance of or amount of money required for the subject project, a ring process may be initiated at an earlier stage.

Both the SPA and SHA are concluded after multiple rounds of negotiations with the counterparty. In the initial stage of negotiations, a term sheet is prepared, outlining the key terms, and negotiations proceed based on this document. It is essential to confirm that the term sheet appropriately reflects the results of due diligence and any corresponding measures.

Once agreement is reached on the content of the term sheet, detailed wording of contracts such as the SPA and SHA will be negotiated with the counterparty.

At our company, it is common to enter the internal approval process (a ringi process, which will be explained later) once agreement on the term sheet has been reached. However, depending on the importance of the project and the transaction amount, the ringi process may begin earlier than this stage.

Execution of investment

Points to remember

- Select a bank for remittances.
- Select a foreign exchange bank.
- Prepare for the application under the Foreign Exchange and Foreign Trade Control Act.
- Arrange the accounting base date.
- Verify the currency to be used for accounting.
- Prepare accounting documentation.
- Retain original documents.

After thorough consideration of the investment and repeated negotiations with the counterparty, once internal ringi approval is granted and all necessary related contracts have been concluded, the investment is carried out.

Care needs to be taken over all of the following points at the investment execution stage: selection of a bank for remittances or foreign exchange transactions; preparation of applications necessary under the Foreign Exchange and Foreign Trade Control Act; arrangement of the accounting base data; verification of the currency to be used for accounting; preparation of accounting documents; and retention of original documents in the case of issuance of shares.

PMI

PMI (Post-Merger Integration)

- The integration process for a company targeted in a merger or acquisition. This process is carried out not only during mergers but also in cases of share acquisitions.
- PMI is divided into three stages: (1) Pre-PMI, (2) PMI execution, and (3) PMI measurement and evaluation.

After the execution of a business investment, what becomes critical is PMI (Post-Merger Integration).

PMI refers to the integration process for a company targeted in a merger or acquisition. Although the term “merger” is included, this process is carried out not only during mergers but also in cases of share acquisitions.

PMI is divided into three stages: (1) Pre-PMI, (2) PMI execution, and (3) PMI measurement and evaluation.

PMI

Procedure

1. Pre PMI (initiatives during the preparation phase prior to investment execution)
 - Organize findings from due diligence and expected synergies to identify the scope of PMI.
 - Establish the necessary organizational structure and secure talent for PMI execution.
 - Formulate an action plan covering the first 100 days after the execution of the investment (the PMI 100-day plan).
2. Execution of PMI (promptly after investment execution)
 - Carry out management integration, including the formulation of a company-wide strategy, the establishment of a governance structure, and the appointment of officers.
 - At the same time, carry out operation integration, including organizational restructuring, the integration of business processes and systems, and the consolidation or abolishment of facilities.
3. PMI measurement and assessment (after PMI execution)
 - Not only measure and evaluate the implementation status of the PMI 100-day plan, but also assess the impact of business synergies and objectively evaluate the achievement level of the intended investment goals.
 - If the targets are not achieved, continue PMI after implementing corrective measures.

Let's look at PMI procedures.

Pre-PMI refers to preparatory efforts before investment execution. During this stage, the following activities are carried out: organizing findings from due diligence and expected business synergies to identify PMI targets; establishing the organizational structure required for PMI execution and securing necessary personnel; developing a concrete action plan for the first 100 days after investment execution (PMI 100-day Plan)

After the investment is executed, PMI is promptly implemented in accordance with the PMI 100-day Plan.

Specific actions include management integration, such as formulating a corporate strategy, establishing governance structures, and appointing executives; and operational integration such as organizational restructuring, integration of business processes and systems, and consolidation of offices.

Following PMI execution, measurement and evaluation are conducted.

This involves not only assessing the implementation status of the PMI 100-day Plan but also measuring the impact of business synergies estimated during Pre-PMI and objectively evaluating the achievement of the initial investment objectives. If targets are not met, corrective measures are taken and PMI continues.

Improvement of corporate value

Method

1. Monitoring
 - Visiting the investee site and understand the actual situation of business operation.
 - Confirming and analyzing the business plan, business performance, and KPIs (key performance indicators).
 - Regularly evaluate investee's business feasibility.
 - Confirming Mitsui's reasons for and policy on holding shares in the company.
2. Formulation of improvement measures and review of strategies
 - Formulating improvement measures when issues are identified through the monitoring.
 - Reviewing the strategies, if necessary.

To improve corporate value, it is necessary to carry out not only PMI but also continuously conduct monitoring of the actual situation of the investee even after PMI.

Through the monitoring process, we survey and visit the investee site, and understand the actual status of the business operation, business plans, business performance, and KPIs (key performance indicators). Furthermore, we regularly evaluate the investee's business feasibility and also confirm Mitsui's reasons for and policy on holding shares in that company.

Based on the results of the monitoring, we formulate measures for improving business performance and review the strategies, as necessary.

To enhance corporate value, the process does not end with PMI. Even after implementing PMI, it is essential to continuously monitor the status of the investment.

Monitoring involves visiting the investee to check on-site operations, as well as understanding and analyzing the business plan, performance, and KPIs (Key Performance Indicators). In addition, regular evaluations of the investee's business viability are conducted to confirm the significance of our ownership and our strategic direction.

If any issues or challenges related to the investee are identified through monitoring, we will consider specific improvement measures and, if necessary, review our strategy.

Exit

Exit: Selling a business to others or liquidating a business

- Mitsui puts a focus on the reinforcement of its cash flow management and financial base, as well as strategic asset recycling, and considers exiting from a business, if necessary, even in the case where there is no problem with the investee.
- In order not to miss the timing to make an exit on favorable terms for Mitsui, it is important to formulate in advance an exit policy or a highly effective exit path when making a business investment.
- Such an exit policy or an exit path is also confirmed through the asset portfolio review.

An exit means selling a business to others or liquidating a business.

Mitsui puts a focus on the strengthening of its cash flow management and financial base, as well as strategic asset recycling. When necessary, Mitsui also considers making an exit from a business in which it has invested.

In order not to miss the timing to make an exit on favorable terms for Mitsui, it is important to formulate in advance an exit policy or a highly effective exit path when making business investment.

Such an exit policy or exit path is also thoroughly considered and verified during the asset portfolio review, which will be explained later.

Exit refers to selling a business to another party or liquidating a company.

Our company places emphasis on cash-flow management, strengthening the financial base, and strategic recycling of assets. Therefore, even when there are no issues with an investee, we may consider an exit if necessary.

Moreover, to avoid missing an advantageous timing for exit, it is important to establish a clear policy and a highly executable exit path at the time of investment.

Exit policies and exit paths are also reviewed during the asset portfolio review, which will be explained later.

1.3) What is Business Risk?

3. What is Business Risk?

Business risk management at Mitsui

Business investment

Business risk

Status of Mitsui Group

Next, we will explain business risk.

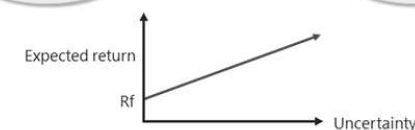
Business risk

Risk : Uncertainty = "We don't know what's going to happen."

Risk of investment

Expected return on investment

Uncertainty

Dividend
Increase in
investment value

What does the "risk" in business risk mean?

Risk means "uncertainty." It is often perceived as "danger," but that is not entirely accurate. Risk refers to the fact that the future is uncertain and unpredictable.

In investment, expected returns include future dividends and increases in the value of the investee. The variability of these expected returns constitutes the risk in investment.

There is a phrase, "high risk, high return." This means that although the uncertainty of the investment is high, the expected profit is also high. Generally, projects with higher risk tend to offer higher returns, while those with lower risk tend to yield lower returns.

Of course, "low risk, high return" projects are desirable, but in such cases, it is important to be cautious about any hidden risks that may not have been identified.

Business risk

Examples of business risk

- Risks relating to construction or operation of a plant, etc.
- Risks relating to material procurement and product sales
- Risks relating to human resources and labor issues
- Risks relating to business partners
- Country risk
- Reputation risk
- HSE (health, safety and environment) risk
- Risks relating to information systems, etc.

So, what is “business risk”?

Let’s consider it from two perspectives: the risk inherent in the business itself; and the risk to Mitsui & Co. as an investor in that business.

First, let’s look at the risk inherent in the business itself.

There are various types of business risks. Major risks related to a business include: risks associated with construction and operation of facilities such as plants; risks related to procurement of raw materials and sales of products; risks concerning human resources and labor issues; risks related to business partners; country risk; reputation risk; HSE (Health, Safety and Environment) risk; and risks related to information systems.

Risk (Business Risk)

Business Risk from Mitsui & Co.’s Perspective

- Quantitative Risk: Fluctuations in dividends from the investee and changes in the investee’s business value

Examples: Reduction in dividends, inability to recover the invested capital, accounting impairments, etc.

- Qualitative Risk: Risks faced by the investee spreading to Mitsui & Co. as the investor

Example: An environmental pollution issue occurs at the investee

Mitsui & Co., as the investor, is also criticized by society and suffers reputational damage

- Risks faced by the investee can become risks for Mitsui & Co.
- It is necessary to comprehensively identify and manage the risk factors surrounding the investee.

Let’s consider business risk from Mitsui & Co.’s perspective.

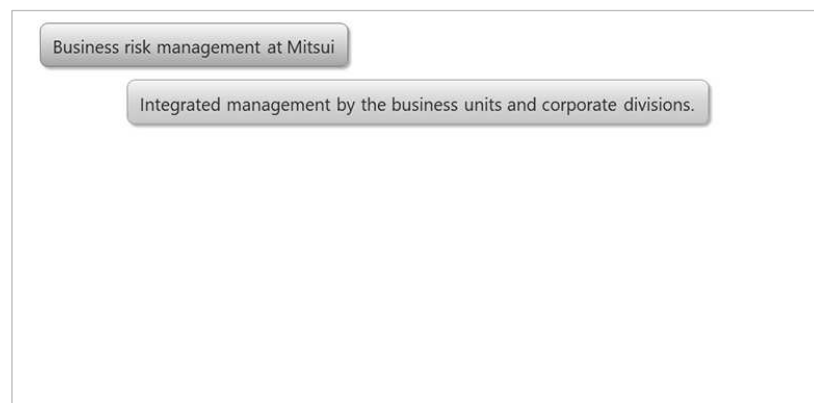
Primarily, the risk to Mitsui & Co. when making an investment is the fluctuation in dividends from the investee and changes in the investee’s business value. If these risks materialize, it could result in reduced dividends, inability to recover the invested capital, or the need to recognize an impairment loss in our accounting. This type of risk can be categorized as quantitative risk.

However, actual risks are not limited to quantitative ones. When risks faced by the investee materialize, they can also spread to Mitsui & Co. as the investor. For example, if the investee causes an environmental pollution issue, criticism from society may not be limited to the investee but may also extend to Mitsui & Co., damaging our reputation. This type of risk can be categorized as qualitative risk.

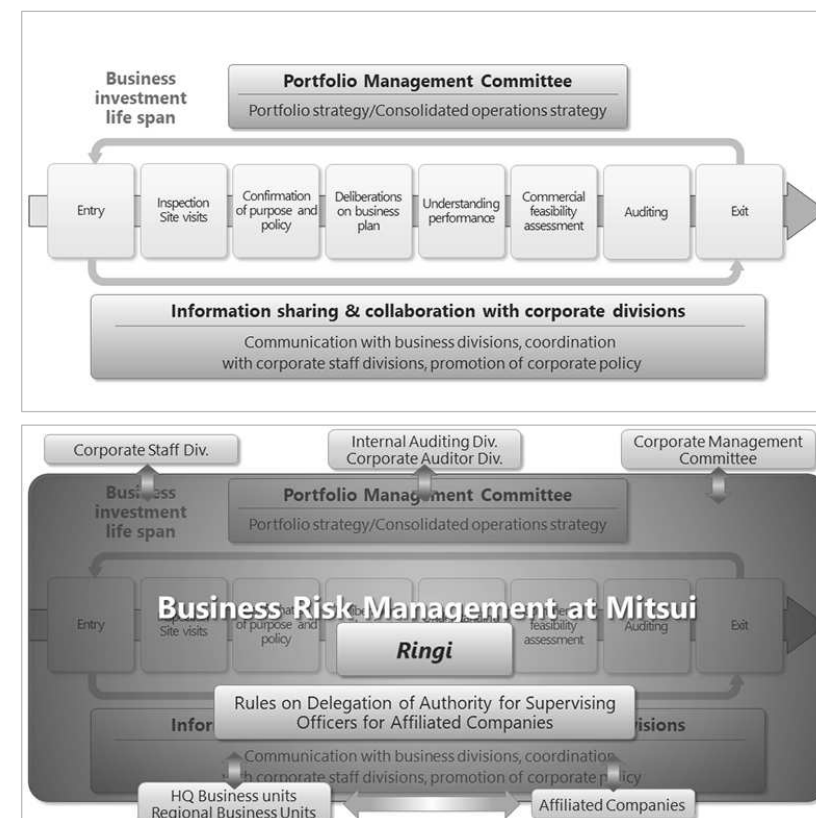
Since risks faced by the investee can become risks for Mitsui & Co., when making business investments, it is essential to comprehensively identify and manage all risk factors surrounding the investee, from both quantitative and qualitative perspectives.

1.4) Business Risk Management at Mitsui (*ringi*)

Now we will explain how business risk is managed at Mitsui & Co., with a focus on the *ringi* procedures.



In Mitsui & Co.'s business investment, business divisions and corporate units work together to provide support to or manage an investee.



The diagram illustrates Mitsui & Co.'s business risk management process and the relationships between the various parties involved.

As you can see, a variety of units are involved in managing business risk.

Two essential components of the business risk management system are the "ringi" process and the "Rules on Delegation of Authority for Supervising Officers for Affiliated Companies".

Before proceeding with a detailed description of business risk management, we will first explain these two elements.

Ringi

Process for Mitsui's decision-making, stipulated based on the Rules on Circular Executive Approval (Ringi), various authority rules, etc.

Rules on Circular Executive Approval

Established on March 30, 2007
.....
Revised on July 3, 2019

Chapter 1. General Provisions

I. Purpose

These rules set forth matters relating to the handling of circular executive approvals (Ringi) necessary for carrying out the business activities of Mitsui.

II. Definitions

- 1 A circular executive approval (Ringi), when used in these rules, means the resolution, final decision or approval of an individual with high-ranking authority obtained by a member of management through prescribed procedures in order to carry out a matter that is beyond the authority of his/her supervisory function.
- 2 A member of management, when used in these rules, means an individual serving in the position of the head of a sub-organization or a higher position within Mitsui.



First, let us explain the ringi process.

The ringi process is the process for decision-making within our company. The matters that require ringi approval and the specific handling of ringi applications are stipulated in the Rules on Circular Executive Approval (Ringi).

In addition, the scope and monetary limits of decisions that each manager can make are defined in the various authority rules.

Ringi

A decision-making process used as the opening stage of business risk management.

Distinctive feature:

A "bottom-up" system whereby a person in a subordinate position makes a request for a decision (circular executive approval application) by applying for the approval of his immediate superior, and the request is passed up the chain of command one step at a time to reach the level of the person with the authority to make the final decision.

Advantages of a multi-stage sanction procedure

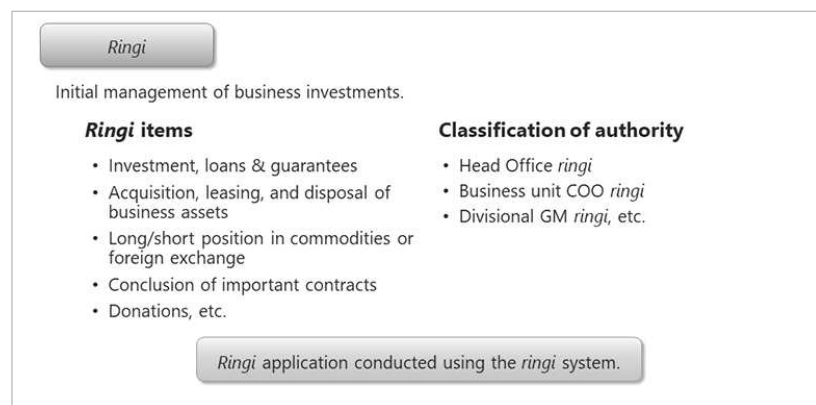
- It is possible to share information and reach consensus among related parties.
- The recognition of matters (the external environment, profitability, business operation risks, etc.) that serve as a basis for consensus-building or decision-making is clearly documented and recorded.

The distinctive feature of Mitsui & Co.'s ringi procedures is that it is a "bottom-up" system. That is, a person in a subordinate position requests ringi approval by applying to his immediate superior, and the request is passed up the chain of command one step at a time to reach the level of the person with the authority to make the final decision.

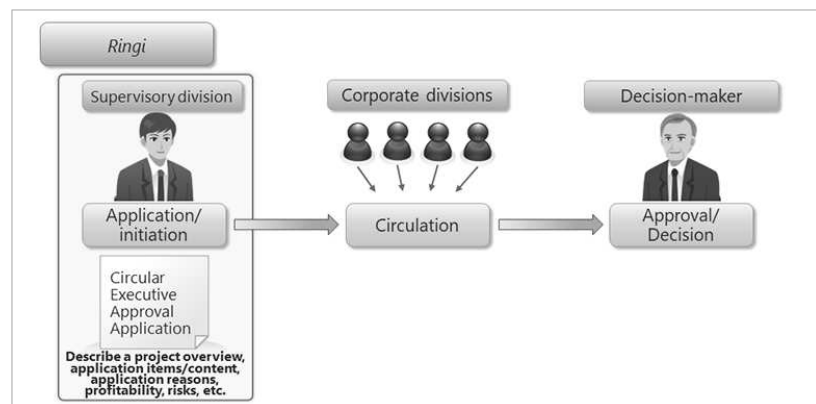
This process has the following two advantages.

The first advantage is that we can share information and form internal consensus among all concerned by selecting ringi-circulating units in accordance with ringi matters or the authority to make a decision.

The other advantage is that the recognition of matters (such as the external environment, profitability, and business operation risks) that serve as a basis for consensus-building or decision-making is clearly documented and recorded.



In our company, matters requiring ringi approval include investment, loans and guarantees, acquisition, leasing, and disposal of business assets, commodity/foreign exchange transactions, conclusion of important contracts, and donations. Furthermore, depending on the amount and nature of the case, authority is classified into categories such as Head Office ringi or COO ringi. Ringi applications are submitted through the ringi system, circulated to the relevant units for review, and then subject to decision-making by the decision-maker.

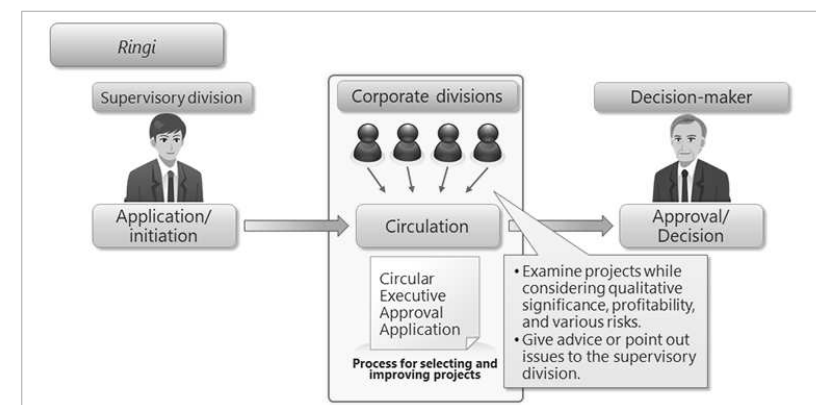


Now, let us explain the ringi process and the characteristics of each step.

The ringi procedure consists of three processes: 1) application 2) circulation and 3) approval.

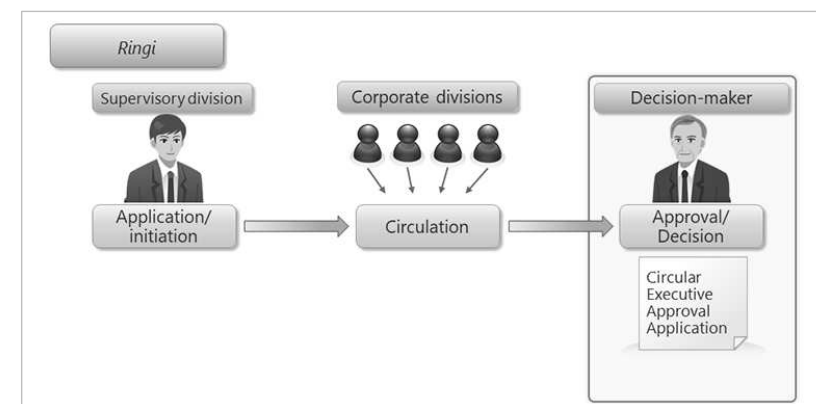
When submitting a ringi application, a ringi document is prepared using the ringi system. This document follows a prescribed format and includes details such as an overview of the project, the matters and content being applied for, reasons for the application, profitability, and risks.

Once the application is submitted by the responsible supervisory division promoting the project, the ringi document is circulated to relevant corporate units. After that, the decision-maker carries out decision-making.

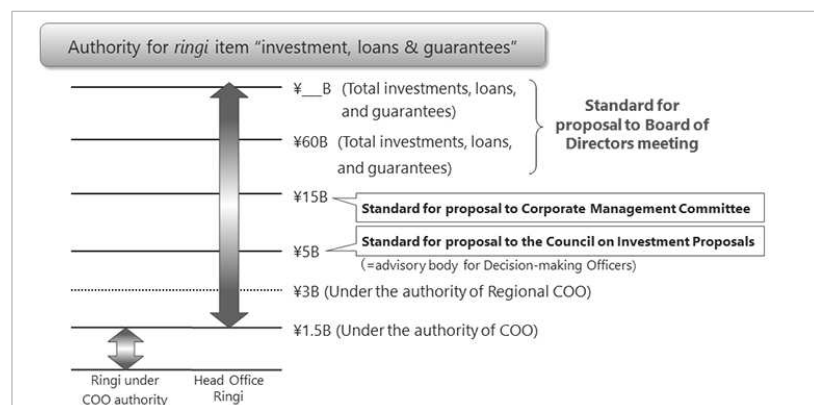


During the ringi circulation phase, each corporate unit concerned examines the subject project while considering the qualitative significance, profitability, and various risks, including business risk, legal risk, and credit risk, and gives advice or points out issues to the supervisory division.

At Mitsui & Co., the ringi circulation is a process for selecting and improving a project.



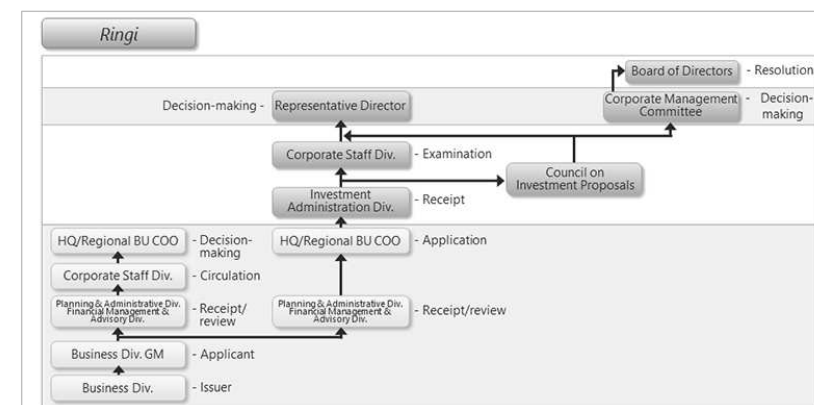
A project proceeds to the implementation stage after the ringi decision-making stage. The decision-maker for the ringi process differs depending on the amount of money involved or the specifics of the project concerned.



For example, the business unit COO has the authority to carry out decision-making with respect to the project falling under the ringi item "investment, loans and guarantees" up to a limit of ¥1.5 billion.

The corresponding limit for the COO of a regional business unit is ¥3 billion. This means that a final decision can be made on a project falling under the ringi item "investment, loans and guarantees" with the decision-making by a regional business unit COO, as long as the cost involved is not more than ¥3 billion.

For any projects involving an amount greater than this, the Head Office ringi procedure is required, and the decision-maker for such a project differs depending on the amount involved or the specifics of the project.



A project subject to the Head Office ringi procedure is circulated among the relevant corporate units and then decided on by the representative director in charge.

However, for projects for which a required amount of money exceeds ¥5 billion or whose framework is complex, or projects accompanied by a significant or atypical risk, the Council on Investment Proposals is convened in principle, and deliberates on various matters of the project concerned, including the strategies, profitability, and business risk.

If the amount of money involved is much larger than ¥5 billion, such a project is also subject to deliberation by the Corporate Management Committee. The projects to be deliberated by the Corporate Management Committee typically are those involving investment, loans & guarantees totalling ¥15 billion or more and could have material impact on the company management.

Furthermore, projects for which investment, loans & guarantees total ¥60 billion or more shall be also subject to deliberation by the Board of Directors, in principle.

1.5) Business Risk Management at Mitsui

(construction of a strategic portfolio from entry to exit)



In the previous section, we explained the ringi procedures, which are an essential element of business risk management.



From the start to the end, Mitsui & Co. manages its business investments based on the ringi process and the Rules on Duties of Supervising Officers of Affiliated Companies to build strategic investment portfolios.

We will now explain these procedures from entry to exit, starting from the ringi process.



At the entry stage, the ringi process allows for the selection of the project, enhancement of project quality, and identification of the location and nature of risks.

Mitsui & Co. has stipulated its investment criteria for selecting an investment. An investment should meet these criteria. The investment criteria consist of profitability standards and qualitative standards. The profitability standards include a consolidated IRR of 10%, 5% rate of return on investment, loans & guarantees on a consolidated basis, and a risk-return target of 20%. It is necessary to meet all of these requirements. The qualitative standards require that the investment concerned must not fall under political investment or financial investment. For details of political investment and financial investment, please refer to the explanations on the types of Mitsui & Co.'s investments under Section 1.1 "What is business investment".



At the inspection and site visit stage, efforts are made to deal with the issues raised during internal audits and accountants' audits, and interviews are carried out to evaluate the CSA (control self-assessment) implementation status, as well as risk-recognition and countermeasures at affiliated companies.

Next, during the investigation and site visit stage, we address issues identified through internal audits or audits by accountants and conduct interviews regarding the status of CSA initiatives at affiliated companies, as well as the risks identified through CSA and their corresponding response policies and progress status.

CSA stands for Control Self-Assessment, which refers to self-evaluation of internal controls. In CSA, each site not only identifies management risks and formulates and implements response policies, but also monitors progress itself and develops and executes additional measures as needed. Our company actively promotes CSA initiatives at affiliated companies.

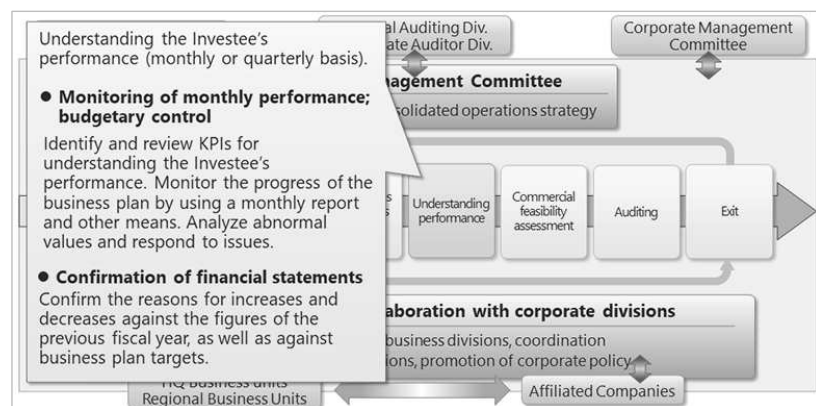


The significance of holding shares in investees and the policy of holding these shares are regularly reviewed during the Asset Portfolio Review, which is conducted once a year. The results of the Asset Portfolio Review are reported using a system called Investment Profile, which consolidates information on all of our company's investments.

Further details on the Asset Portfolio Review will be explained later.



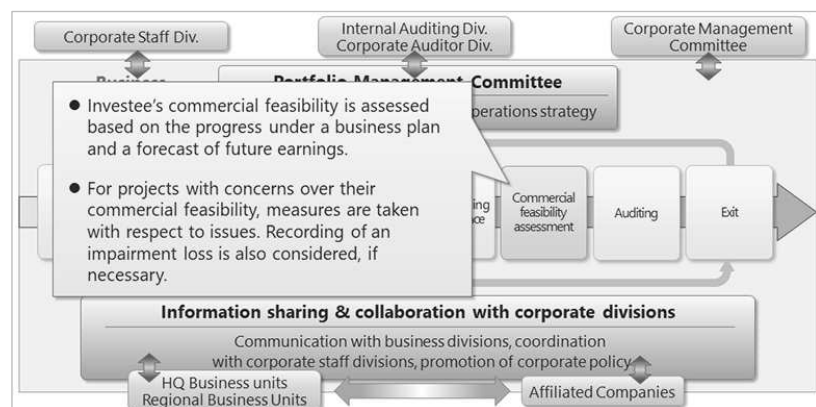
Furthermore, in line with the formulation of the investee's business plan, efforts are made to confirm each company's management policy, the progress in achieving the targets under their medium- to long-term plan, identified issues and action plans, major risks and countermeasures against them, and other related matters, and to verify them against the business plan of the supervisory division.



Next, the performance of the investee is identified. This is generally carried out on a monthly or quarterly basis, depending on the individual business concerned.

Specifically, we confirm or review KPIs for understanding the business performance of the investee, confirm the progress of the business plan by utilizing the monthly or quarterly reports, analyze atypical figures, and take measures against issues identified.

Furthermore, after the financial statements are completed, we confirm the reasons for differences between the actual results, and the results of the last fiscal year or targets under the business plan.



The investee's commercial feasibility is assessed as needed, based on the extent to which the business plan has been accomplished, as well as a forecast of future earnings.

For projects for which there are significant concerns over their commercial feasibility, it is necessary to carry out countermeasures to deal with issues in order to improve their value, and consider recording an impairment loss, if necessary.



Normally, an auditor is appointed at an investee and supervises and conducts audits over the execution of duties by directors. The auditor also creates audit reports. If necessary, Mitsui & Co.'s employees are dispatched as full-time or part-time corporate auditors.

In addition, there are cases where regular auditing of affiliated companies is carried out by the Internal Auditing Division of Mitsui & Co.



The business investment ends when the investee is sold to a third party or liquidated.

For the investees for which Mitsui & Co. no longer has a reason for retaining their shares or those whose qualitative or quantitative contribution has become limited, an exit from such a project is considered. An exit is also considered for investees that have met the alert criteria.



Mitsui & Co. has set the alert criteria for considering an exit from investment projects. The alert criteria consist of the profitability standards and the qualitative standards. The profitability standards include a negative core operating cash flow for two consecutive terms, negative risk-return for two consecutive terms, and a capital deficit.

The qualitative standards include cases where the initial strategic significance or the reason for holding shares in the company is lost due to significant changes in the business environment or the assumption compared to the time when the investment was made.

Whether the subject investment project meets these standards or not is checked through the asset portfolio review, which is conducted annually.



In this section, you have learned about Mitsui & Co.'s business risk management, mainly the flow from the ringi process to the exit.

This is not a one-time process; rather, it is repeated several times.

The purpose of business risk management at Mitsui & Co. is to raise the corporate value of the investees, and by doing so, raise the value of Mitsui & Co. Group as a whole.

1.6) Investment Criteria and Profitability Calculations

In this section, we will explain the investment criteria mentioned in the introductory part of the previous section.

Main Investment Decision Items

1. Significance of investment and strategies
2. Major risks and countermeasures
3. Profitability of the project and reasonableness of the business plan
4. Project feasibility
5. Exit policy and exit path
6. PMI plan

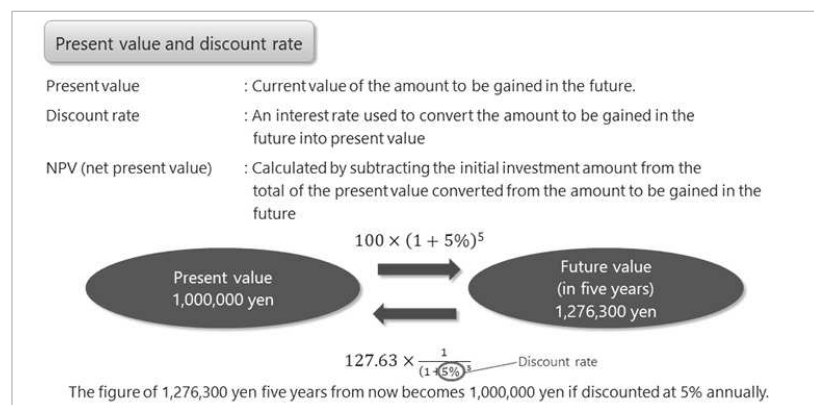
Depending on the characteristics of the project, matters other than the above may be examined.

The main items on which judgments are based during ringi screening are as follows:

1. Significance of investment and strategies
2. Major risks and countermeasures
3. Profitability of the project and reasonableness of the business plan
4. Project feasibility
5. Exit policy and exit path
6. PMI plan

Depending on the characteristics of the project concerned, matters other than the above may be examined.

Regarding business investment projects, it is also confirmed whether such a project meets the investment criteria.



The IRR (internal rate of return) forms the core of the profitability judgement.

We will first look at the present value and discount rate.

The present value is the current value of the amount to be gained in the future and can be calculated by discounting the amount to be gained in the future at a certain interest rate. For example, in the case where the amount to be gained over the course of five years is 1,276,300 yen and the discount rate is 5%, the present value 1,000,000 yen can be calculated by discounting 1,276,300 yen by $(1+5\%)$ to the fifth power.

The interest rate used to convert the amount to be gained in the future to the present value is known as the "discount rate".

The total of the initial investment amount and the present value of the amount to be gained in the future is called NPV or net present value.

Free Cash Flow

Free cash flow

- FCF indicates how much of company's earnings can be used freely.
- FCF is usually calculated by combining the investment cash flow and the operating cash flow.
- Interest expenses included in the operating cash flow are added back (after tax) considering tax effects.

IRR calculations for business investment focus on free cash flow, which represents an amount of money that can be freely used out of the funds earned by the company through its business activities, and which is calculated by combining investment cash flow and operating cash flow.

If the operating cash flow includes interest expenses, such interest expenses shall be added back. In doing so, it is necessary to consider tax effects in relation to the interest expenses, and to obtain the figures after deducting tax.

Free Cash Flow

	Investment Execution	First Year	Second Year	Third Year	Fourth Year	Total
Operating Cash Flow	-	25	35	45	55	160
Investment Cash Flow	△ 100	△ 10	△ 10	△ 10	△ 10	△ 140
Interest Expenses Included in Operating Cash Flow (after Tax)	-	5	5	5	5	20
Free Cash Flow	△ 100	20	30	40	50	40

In this example, the initial assumption is an investment of 100, meaning the investing cash flow is negative 100. Since there is no operating cash flow at the time of investment execution, free cash flow is also negative 100.

In the first year, operating cash flow is 25 and investing cash flow is negative 10. By combining these and adding back the interest expense of 5 included in operating cash flow, free cash flow becomes 20.

After that, as operating cash flow increases, free cash flow also rises, reaching 30 in the second year, 40 in the third year, and 50 in the fourth year.

IRR

IRR (Internal Rate of Return)

- The IRR is the discount rate at which a project's net present value (NPV) becomes zero.
- It is the discount rate at which the current value of the future cash flows that will be generated by a project is exactly in balance with the initial investment amount required for the project.

What is the internal rate of return?

The internal rate of return, or IRR, is defined as the discount rate at which a project's net present value, or NPV, becomes zero.

In other words, it is the discount rate at which the present value of the future cash flows that will be generated by the project is exactly in balance with the initial investment amount required for the project.

IRR

	Investment Execution	First Year	Second Year	Third Year	Fourth Year	Total
Operating Cash Flow	-	25	35	45	55	160
Investment Cash Flow	△ 100	△ 10	△ 10	△ 10	△ 10	△ 140
Interest Expenses Included in Operating Cash Flow (after Tax)	-	5	5	5	5	20
Free Cash Flow	△ 100	20	30	40	50	40

IRR : 12.8% ← Calculation using Excel's IRR function

Present Value of Annual Free Cash Flow (Free Cash Flow ÷ (1 + IRR)ⁿ) and Its Total (NPV)

	Investment Execution	First Year	Second Year	Third Year	Fourth Year	Total (NPV)
Present Value of Free Cash Flow	△ 100	18	24	28	31	0

Now, let's calculate the IRR based on the previously mentioned free cash flows.

To calculate IRR, we use the IRR function in Excel. In the above example, applying the IRR function to the free cash flows from the time of investment execution through the fourth year results in 12.8%.

Next, using this IRR of 12.8%, we calculate the present value of each year's free cash flow. For the first year, divide the figure by (1 + 12.8%) to the power of 1; for the second year, to the power of 2; for the third year, to the power of 3; and for the fourth year, to the power of 4. The sum of these present values, combined with the initial investment of negative 100, results in an NPV of zero.

IRR

	Investment Execution	First Year	Second Year	Third Year	Fourth Year	Total
Free Cash Flow	△ 100	20	30	40	50	40
IRR : 12.8%						Total figures are the same.
	Investment Execution	First Year	Second Year	Third Year	Fourth Year	Total
Free Cash Flow	△ 100	50	40	30	20	40
IRR : 17.8%						

- The earlier the timing of receiving funds, the higher the IRR.

When the total amount of free cash flow is the same, the earlier the timing of receiving funds, the higher the IRR.

In the two examples shown on the screen, both have an initial free cash flow of negative 100 at the time of investment execution. However, for years 1 through 4, the upper example has free cash flows of 20, 30, 40, and 50, respectively, while the lower example has 50, 40, 30, and 20, respectively.

Although the total free cash flow is the same in both cases (40), when calculating IRR, the upper example results in 12.8%, whereas the lower example – where funds are received earlier – results in 17.8%.

Mitsui & Co.'s consolidated IRR

Mitsui & Co.'s consolidated IRR

- Mitsui & Co.'s IRR is calculated using consolidated free cash flow.
- According to the investment criteria, the hurdle rate is 10%.

Mitsui & Co.'s IRR is calculated using Mitsui & Co.'s consolidated free cash flow. The investment criteria stipulate a hurdle rate of 10%.

Project IRR

Project IRR

- While Mitsui & Co.'s consolidated IRR is calculated using our consolidated FCF, project IRR is calculated from the investee's cash flow.
- If we acquire shares from existing shareholders at a premium as part of the acquisition, etc., of an existing company, the project IRR will normally be higher than Mitsui & Co.'s consolidated IRR.
- If there is a significant difference, we will need to carefully verify the appropriateness of the purchase price, as well as the probability that corporate value will rise after investment by Mitsui & Co.

Project IRR is not part of the investment criteria, but it needs to be described in the ringi document in addition to Mitsui & Co.'s consolidated IRR. Mitsui & Co.'s consolidated IRR is calculated from consolidated free cash flow, and project IRR from the investee's cash flow.

If we acquire shares in an existing company from existing shareholders at a premium, Mitsui & Co.'s consolidated IRR will normally be lower than the project IRR. If there is a significant deviation between these, we need to carefully verify both the appropriateness of the purchase price, and the probability that corporate value will improve after Mitsui & Co.'s investment, in order to ensure that we are not buying high.

Mitsui & Co.'s Consolidated Rate of Return on Investment, Loans, and Guarantees

Mitsui & Co.'s rate of return on investment, loans, and guarantees

- Consider, as deemed cash flow, the changes in guarantee obligations, provided by our company for the monetary liabilities of investees, and calculate by adding these to our consolidated free cash flow.
- Treat an increase in guarantee obligations as a cash outflow and a decrease in guarantee obligations as a cash inflow.
- Perform the calculation using Excel's IRR function, in the same way as IRR.
- In our investment criteria, 5% is set as the hurdle rate.

Mitsui & Co.'s consolidated rate of return on investment, loans, and guarantees is calculated by adding the changes in guarantee obligations as deemed cash flows to our consolidated free cash flow. In this calculation, an increase in guarantee obligations is treated as a cash outflow, while a decrease is treated as a cash inflow.

The calculation, aside from adding the changes in guarantee obligations, follows the same approach as IRR and is performed using Excel's IRR function.

According to our investment criteria, the hurdle rate is set to 5%.

Mitsui & Co.'s Consolidated Rate of Return on Investment, Loans, and Guarantees

	Investment Execution	First Year	Second Year	Third Year	Fourth Year	Total
Mitsui & Co.'s Consolidated Free Cash Flow	△ 100	20	30	40	50	40
Changes in Guarantee Obligations	△ 40	10	10	10	10	0
Mitsui & Co.'s Consolidated Free Cash Flow + Changes in Guarantee Obligations	△ 140	30	40	50	60	40

Calculation using Excel's IRR function

Mitsui & Co.'s Consolidated Rate of Return on Investment, Loans, and Guarantees: 9.7%

This table assumes that when our company makes an investment of 100 in a certain investee, we also provide a guarantee to the bank for the investee's monetary debt of 40. This debt is repaid in installments of 10 each year in the first, second, third, and fourth years, and accordingly, our guarantee obligation decreases by 10 annually.

For the calculation of Mitsui & Co.'s consolidated rate of return on investment, loans, and guarantees, we add minus 40 to our consolidated free cash flow at the time of the investment execution, and then add 10 each year from the first to the fourth year. Based on these adjusted values, calculation is carried out using Excel's IRR function. The result is 9.7%.

Risk-return

Risk-return

- This is the ratio of consolidated profit after tax (PAT) obtained from business investment to risk assets related to the said business investment.
- According to the investment criteria, the hurdle rate is 20%.

Risk-return is the ratio of consolidated profit after tax, or PAT, gained through the investment to risk assets related to the said business investment.

According to the investment criteria, the hurdle rate is 20%.

Profitability Assessment of Investment Projects

Hurdle Rate of Investment Criteria

- Consolidated Investment IRR: 10%, Consolidated Rate of Return on Investment, Loans, and Guarantees: 5%, Risk-Return: 20%.
- Investments are assumed to be denominated in US dollars. For investments in other currencies, the interest rate differential between the respective currency and the US dollar must be considered.
- Even if the hurdle rate is exceeded, not all investment projects are automatically approved for execution.

Examples of investment projects that are not approved for execution

- When there are serious issues regarding the significance, strategic alignment, or feasibility of the project
- When the expected return from the investment project does not adequately compensate for the risks involved in the project

As explained earlier, our company sets the following hurdle rates as profitability standards for investment criteria: a consolidated investment IRR of 10%; Mitsui & Co.'s consolidated rate of return on investment, loans, and guarantees of 5%; and a risk-return ratio of 20%. These are based on the assumption of investments denominated in U.S. dollars. For investments in other currencies, the interest rate differential between the respective currency and the U.S. dollar must be taken into account.

Furthermore, exceeding the hurdle rate does not mean that such investment projects will be approved for execution. For example, if there are serious issues regarding the significance, strategic alignment, or feasibility of the project, the project cannot proceed unless those issues are resolved.

So, what if there are no issues with significance, strategic alignment, or feasibility, and the hurdle rate is exceeded? Even in such cases, if the expected return from the investment project does not adequately compensate for the risks involved – for instance, when there is a certain level of return but the risk is excessively high – the project will not be approved for execution.

Profitability Assessment of Investment Projects

Cost of Capital

- Referenced when evaluating whether the expected return on an investment project is commensurate with its risk
- Typically based on values from multiple listed companies in the same industry as the target company
- Composed of cost of equity and cost of debt

(Formula)

Cost of Equity = Risk-Free Rate + Beta × Market Risk Premium + Various Premiums

- Risk-Free Rate: Interest rate on risk-free assets, typically the yield on long-term government bonds
- Beta: Sensitivity of a company's stock price to overall market movements
- Market Risk Premium: Difference between the expected return of the overall stock market and the risk-free rate
- Various Premiums: Includes size premium, country risk premium, etc.

Cost of Debt = Interest rate on interest-bearing liabilities such as borrowings

So, how should we evaluate whether the expected return from an investment project is commensurate with its risk? In this case, the reference point is the cost of capital. Typically, values from multiple listed companies in the same industry as the target company are used for comparison.

The cost of capital consists of cost of equity and cost of debt. The cost of equity represents the expected return on equity and is calculated using the formula:

Risk-Free Rate + Beta × Market Risk Premium + Various Premiums.

The cost of debt is the interest rate on interest-bearing liabilities such as borrowings.

Profitability Assessment of Investment Projects

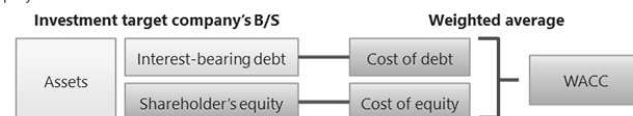
Cost of Capital

- WACC (weighted average cost of capital) is the weighted average of the cost of equity and the cost of debt.

(Formula)

$$WACC = \left(\text{Equity} \div (\text{Equity} + \text{Interest-Bearing Debt}) \right) \times \text{Cost of Equity} + \left(\text{Interest-Bearing Debt} \div (\text{Equity} + \text{Interest-Bearing Debt}) \right) \times \text{Cost of Debt}$$

- In general, for investments to acquire companies as consolidated subsidiaries, compare consolidated investment IRR with WACC. For other investments, compare consolidated investment IRR with cost of equity.



The weighted average of the cost of equity and the cost of debt is called the weighted average cost of capital (WACC). In general, for investments to acquire companies as consolidated subsidiaries, comparison between consolidated investment IRR and WACC is carried out. For other investments, comparison between consolidated investment IRR and cost of equity is carried out.

Profitability Assessment of Investment Projects

Accounting Profitability Indicators

- $\text{ROE (Return on Equity)} = \text{PAT} \div \text{Shareholder's Equity}$
- $\text{ROIC (Return on Invested Capital)} = \text{NOPAT (or PAT)} \div \text{Invested Capital (= Shareholder's Equity + Interest-bearing Debt)}$

Note: NOPAT stands for Net Operating Profit After Tax

Other indicators

- Payback Period: Calculates how many years it will take to recover the funds invested in the business

At Mitsui & Co., investment projects are evaluated using various indicators in addition to those related to IRR.

Among the key accounting profitability indicators are ROE (Return on Equity) and ROIC (Return on Invested Capital).

ROE represents the ratio of a single-year PAT to shareholders' equity. ROIC, on the other hand, is the ratio of NOPAT (Net Operating Profit After Tax) to invested capital (the sum of shareholders' equity and interest-bearing debt). For simplicity, PAT may sometimes be used instead of NOPAT in the numerator when calculating ROIC.

Another indicator is the payback period, which measures how many years it will take to recover the funds invested in the business.

1.7) Alert Criteria and Monitoring

We will next learn about the alert criteria.

Alert Criteria

Profitability criteria

Specific discussions should be held toward a withdrawal or exit, if any of the following conditions apply.

- Negative core operating cash flow in two consecutive fiscal years
- A negative risk-return ratio in two consecutive fiscal years
- Insolvency

Qualitative criteria

In principle, an exit should be executed if there are major changes in the business environment and the underlying assumptions, compared with the action policy and situation when the investment was executed, resulting in the loss of strategic value and the significance of holding the investment.

The alert criteria are criteria for considering an exit from an investment project.

There are two types of the alert criteria: profitability criteria and qualitative criteria. In terms of profitability, the alert criteria are deemed to have been met if either core operating cash flow or the risk-return ratio has been negative for two consecutive fiscal years, or if the investee has become insolvent. In such cases, specific consideration must be given to executing an exit.

There is no absolute requirement to execute an exit in the year after the alert criteria are met. However, prioritized actions will be taken, including checks on countermeasures and progress on these, as part of monitoring within business units and asset portfolio reviews.

Regarding the qualitative criteria, if, for example, there are major changes in the business environment and the underlying assumptions and they lead to a loss of strategic value and negate the reasons for holding the investment, an exit should be made in principle.

Monitoring

Asset portfolio review : Comprehensive inspection of a business portfolio using the Investments Profile.

- Carrying out monitoring with respect to investment projects, confirmation of reasons for retaining the project, confirmation of the progress on earnings improvement measures and various initiatives.
- Verifying the reasonableness of projects that have met the alert criteria but for which the “hold” policy has been adopted.
- Regarding the projects subject to the exit policy, confirming specific exit timing, an exit path, and the progress on the exit path.
- Confirming the reasons for holding shares with respect to all the company-owned shares in listed companies and deciding on future policies.

What happens during an asset portfolio review?

The asset portfolio review is a comprehensive inspection of a business portfolio using the Investments Profile. Specifically, monitoring of investment projects is carried out, and the reasons for retaining such projects are confirmed. In addition, the progress on earnings improvement measures and various initiatives is also confirmed.

For investments that have fallen below the alert criteria but are subject to the “hold” policy, we verify the rationality of adoption of the “hold” policy.

Regarding the projects subject to the exit policy, we confirm specific exit timing, an exit path, and progress on the exit path.

In addition, along with the asset portfolio review, we confirm the reasons for holding shares with respect to all the company-owned shares in listed companies, and decide on future policies.

1.8) Status of Mitsui & Co. Group (subsidiaries and associated companies)

8. Status of Mitsui & Co. Group
(subsidiaries and associated companies)

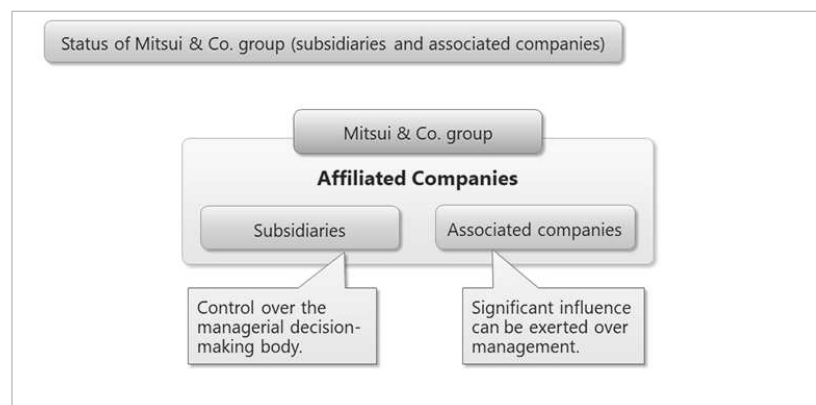
Business investment by Mitsui

Business investment

Business risk

Status of Mitsui & Co. group

In this section, we will learn about Mitsui & Co.'s subsidiaries and associated companies, which play a central role in our business investment.



Mitsui & Co. Group is composed of Mitsui & Co., Ltd. itself and its affiliated companies, which include subsidiaries and associated companies.

The difference between these two types of entities relates to the degree of control and influence exerted by Mitsui & Co.

A subsidiary refers to a company over which Mitsui & Co. exercises control of its decision-making body. Generally, when our company holds a majority of voting rights, the entity becomes a subsidiary. However, if, for example, a business partner has decision-making authority over key management matters, it may not necessarily be classified as a subsidiary. Conversely, even if our company does not hold a majority of shares, the entity is considered a subsidiary if we have control over its decision-making body, such as the shareholders' meeting.

A company in which Mitsui & Co. holds 20% or more of the voting rights, or between 15% and 20% and meets certain conditions such as appointment of directors, and is able to exert significant influence over management, is referred to as an associated company.

Status of Mitsui & Co. Group (Subsidiaries and Associated Companies)

- The number of affiliated companies subject to Mitsui & Co.'s consolidated financial statements has remained around 500 companies in recent years.
- Approximately three-quarters of these companies are located overseas.

The Number of Group Companies on a Consolidated Basis

		18/3	19/3	20/3	21/3	22/3	23/3	24/3	25/3
Consolidated Subsidiaries	Overseas	201	208	209	203	201	210	210	214
	Japan	64	70	74	77	78	87	84	80
	Total	265	278	283	280	279	297	296	294
Associated Companies	Overseas	165	168	178	186	182	171	159	151
	Japan	42	45	45	48	48	45	36	30
	Total	207	213	223	234	230	216	195	181
Total	Overseas	366	376	387	389	383	381	371	365
	Japan	106	115	119	125	126	132	120	110
	Total	472	491	506	514	509	513	491	475

How many subsidiaries and associated companies do you think currently belong to Mitsui & Co.?

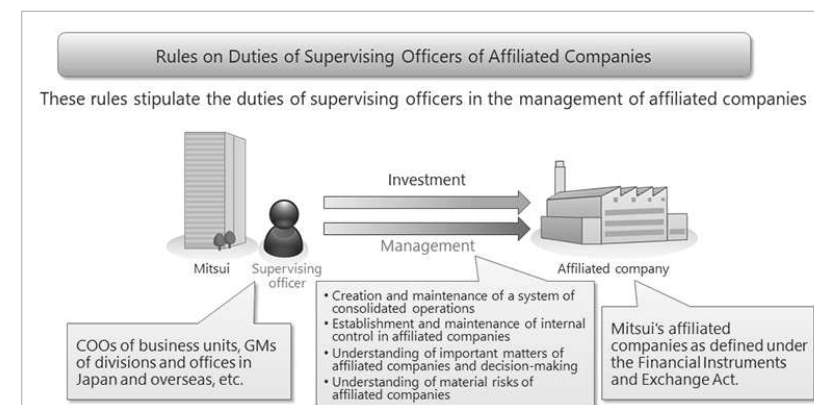
This table shows the trend in the number of affiliated companies subject to consolidated financial statements. In recent years, the number has remained around 500 companies, and approximately three-quarters of them are overseas companies.

1.9) Business Risk Management at Mitsui

(rules on duties of supervising officers of affiliated companies)



Finally, we will explain business risk management at Mitsui & Co.'s affiliated companies, based on the Rules on Duties of Supervising Officers of Affiliated Companies.



The Rules on Duties of Supervising Officers of Affiliated Companies stipulate the duties of supervising officers who shall be responsible for supervising the management of the affiliated company.

A supervising officer is responsible for management of an affiliated company, and generally, the COO of a business unit or the General Manager of a division or office in Japan or overseas serves as a supervising officer.

The affiliated companies under management mean affiliated companies as defined under the Financial Instruments and Exchange Act.

The duties of the supervising officers specified in these rules include the creation and maintenance of a system of consolidated operations, the establishment and maintenance of internal control in the affiliated companies, and identification of material risks of the affiliated companies.

In accordance with these rules, Mitsui & Co. is involved in the operation of affiliated companies as an investor and shareholder and carries out business risk management.

Rules on Duties of Supervising Officers of Affiliated Companies

Items relating to important management issues of affiliated companies (partial extract)

Z	Items Relating to Important Management Issues	Material changes to the Articles of Incorporation, increase or decrease in capital/acquisition of treasury stock, company listing or delisting, merger with other companies, significant changes to accounting procedures
	I Business investment risk	Business investment (investment, loans, and guarantees)
	II Credit risk	Credit lines, atypical transactions
	III Market risk	Commodity long/short position, foreign exchange long/short position
	IV Business asset risk	Acquisition or leasing of business assets
	V Legal and compliance risk	Filing of lawsuit, resolution of disputes/complaints
	VI CSR risk	ODA business, donations, business receiving subsidiaries
	VII Company-owned assets risk	IT-related assets, other company-owned or -used assets

Important matters relating to the management of affiliated companies are specified in "Important Items concerning the Management of Affiliated Companies".

When an event falling under any of these arises, as an investor, Mitsui & Co. must undertake the prescribed procedure in advance in order to enable execution of Mitsui & Co.'s rights and support appropriate management decisions by Mitsui & Co.'s employees dispatched as directors.

Specifically, such important matters include matters related to the foundation of company management, such as material changes to the articles of incorporation, an increase/decrease of capital, acquisition of treasury stock, company listing or delisting, and merger with other companies. The said important matters also include investment, loans and guarantees that exceed a certain amount, acquisition of an asset that exceeds a certain amount, commodity or foreign exchange long/short positions, and the filing of lawsuits.